Journal of Financial Crises

Volume 7 | Issue 1

2025

Lessons Learned: Cecilia Skingsley

Maryann Haggerty

Recommended Citation

Haggerty, Maryann (2025) "Lessons Learned: Cecilia Skingsley," *Journal of Financial Crises*: Vol. 7 : Iss. 1, 725-728.
DOI: https://doi.org/10.17132/2693-3179.1643
Available at: https://elischolar.library.yale.edu/journal-of-financial-crises/vol7/iss1/33

Yale Program on Financial Stability
Lessons Learned

Cecilia Skingsley

By Maryann Haggerty

During the Swedish banking crisis of the early 1990s, Cecilia Skingsley was the press secretary for the Ministry of Finance. She held various roles, including chief economist, at Swedbank, one of Sweden's largest banks, from 2007 to 2013, a period that included the Global Financial Crisis (GFC) and European Sovereign Debt Crisis. Swedbank suffered heavy losses amid the GFC and relied on a government guarantee program for support. In 2013, she became a deputy governor of Sveriges Riksbank, Sweden's central bank; in 2019, she became first deputy governor. Skingsley left the Riksbank in September 2022 to become head of the Bank for International Settlements's Innovation Hub. This Lessons Learned summary is based on a December 2022 interview with Skingsley; the full transcript may be accessed [here](#).

A banking crisis is a very complex event, and effective communications require the delivery of layered messages to different stakeholders.

As press secretary for the finance ministry, Skingsley played a pivotal role in communicating the government's response to its crisis. Sweden took approaches that were novel for the nation at the time, including a blanket bank guarantee by the state, a bad-bank asset management arrangement, and a Bank Support Authority.

Communications then were "obviously very, very difficult," she said.

> The sentiment in society was that bankers had been rewarding themselves with high salaries and bonuses, and although they were losing their jobs, they came out of it very favorable, versus taxpayers and the unemployed paying the price for this. So, it was important to craft a policy response that created a sense of claiming responsibility, but also handling the problems as fast as possible, so that the banking system could do what it's supposed to do, pricing risks and perform credits.

To help manage political tensions, the government established a Bank Support Authority, operated by civil servants, which created distance between the operations and politicians. The government also included the largest opposition party in its response strategies, Skingsley said; that muted one source of tension. Communicating with other stakeholders, including the general public, required a wide set of tools and communication at different complexity levels, depending on their skills and backgrounds. "We had press conferences, briefings, interviews, background tutorials, kind of helping both journalists but also other stakeholders to understand what had happened," she said.

> So over time, I think we didn't eliminate critical media, obviously, but I think we managed to take away some of the drama around this. Because a banking crisis is certainly a very dramatic story, and the media is crawling all over it, as could be expected. . . . I think what really worked was that we decided that we wanted to make

> this a success. We wanted to be open about what had gone wrong, and what the politics needed to do in order to sort it out. And we were very open.

Mid-crisis, she recalled, the government even prepared a white paper for general consumption, so people without economics or banking expertise could better understand the situation. Getting parties to agree on the report was not easy, Skingsley recalled:

> And it turned out to be a lot of tension behind the scenes, when we tried to explain what had gone wrong, and what we wanted to do to fix it. Because different stakeholders here wanted to point in other directions. So, we had conflicts behind the scenes. We had conflicts with the central bank, with the supervisory authority, but also with banks themselves. And the lesson I took from that is that, yes, you need to try to explain in decent language what had gone wrong, but you have to prepare for a lot of conflicts with other stakeholders who don't want to take the blame, basically.

Rolling out multiple support measures as a package makes sense because it provides a forceful response, and policymakers cannot be certain which individual measures will work.

At the time of the 2007–09 Global Financial Crisis, Skingsley was an economist with Swedbank, one of the banks that came under the most pressure. "As Lehman defaulted, the funding costs for Swedbank skyrocketed, and the management of Swedbank at the time could not convince the financial markets that Swedbank was sound enough to enjoy the same sort of funding costs as other Swedish banks," she recalled.

The government stepped in with a renewed deposit insurance program and with a state guarantee that allowed banks to issue debt and thus roll over funding. In addition, the central bank cut interest rates sharply and provided liquidity against collateral. According to Skingsley, the programs were robust and tailored to address the banks' needs:

> There was three-months money, there was six-months money, and then they also issued one-year money, with a pegged rate. And they also issued, through a swap line from the [US] Federal Reserve, access to dollars. I think these measures were very crucial, to ease up the funding market for bank debt in Sweden.

Packaging interventions this way, said Skingsley, proved forceful and was appropriate because the policymakers did not know which response would be most effective.

> I think, from a public-sector perspective, most of the things Sweden did then were the right ones. They were fast implemented, they were strong measures, and they came in packages, rather than one by one. Because, if you issue support measures one at a time, that's probably interesting for all the researchers, who want to know what works and what doesn't work. But policymakers are not that interested in that, because they don't know exactly what works and what doesn't work. So, they prefer to work with packages, rather than individual measures. And that is exactly what the government and the Riksbank did. They came with packages with different kinds of content, and they usually had immediate market impact as those things arrived.

After a crisis, tools that worked should be institutionalized so that they can be readily deployed in the next one.

In the decades immediately following World War II, Sweden, like many other nations, had a highly regulated financial system. Deregulation came quickly in the 1980s. At the time of the 1990s crisis, the country had few tried-and-true tools at hand to respond. It tried novel approaches then, and they worked. But, in Skingsley's view, the tools were allowed to get rusty or were institutionalized imperfectly, which slowed the country's response to the GFC.

> The interesting thing was that there were not that many safeguards put in place after the earlier banking crisis in the 1990s. The most prominent one was the deposit insurance scheme that had been put in place, but it was designed in a way that it would take months for people to get access to their deposits, and the banking institution had to fold.
>
> As Lehman collapsed, and there were question marks around Swedbank, I wouldn't say it was an outright run, but there were certainly funding problems, both from a wholesale but also retail perspective at Swedbank, meaning that people were withdrawing money. They knew that there was deposit insurance, but they had heard that it would take months before they would be able to access their money. And that was enough for them to withdraw.

Despite the terms of the deposit insurance scheme, the Swedish government and the Riksbank executed a forceful policy response, including a program that permitted banks to issue debt with a state guarantee.

Sweden is part of the European Union but does not use the euro. So, when the European Sovereign Debt Crisis followed the GFC, the effects on the country were indirect. Part of the response at the Riksbank, where Skingsley worked beginning in 2013, was to cut policy interest rates to below zero to fight off deflation. "We need and needed to point out that you can't just talk about inflation targeting. You also have to do things to meet your target," she said.

By the end of 2019, rates were back up to zero, just before COVID-19 hit. "It's absolutely the fastest collapse in the economy I have ever seen in my 30 years of working. And the uncertainty was monumental," Skingsley said.

The Riksbank did not change rates, preferring not to go negative. Rather, said Skingsley, it deployed a variety of tools "in those weeks in March [2020]. And then, in the months that followed, we basically just fine-tuned or added to those decisions that had already been taken in March 2020." The Riksbank expanded its debt purchasing program, to include not only government debt, but also municipal bonds, mortgage-backed securities, and even corporate issuances. But operational problems caused a six-month delay in the purchase of corporate credits, she said. "And that is a lesson learned, that you need to have internal structures ready, to be able to do things quite close in time to the moments you say that you are going to do things."

Looking back at the crises she navigated, Skingsley said,

> Very few in society expect downfalls, economic crises, and the risk-taking is always based on the idea that the economies will continue to grow. So, if you are a decision-maker, you have to think about "what if," and make sure that you are aware of what tools you have, and how they can be applied. And that, I think, is universal for all crises.

Dated: April 2025

YPFS Lessons Learned No: 2022–22